

BUSFIN 8200: Problem Set 1

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September 9, 2026

1 Question 1

1.1 Part (a)

Assume $D_t > 0$. By definition, the gross return on equity is

$$R_{e,t+1} = \frac{P_{t+1} + D_{t+1}}{P_t}. \quad (1)$$

Taking logs,

$$\begin{aligned} \log(R_{e,t+1}) &= \log\left(\frac{P_{t+1} + D_{t+1}}{P_t}\right) \\ &= \log\left(\frac{P_{t+1} + D_{t+1}}{P_{t+1}} \cdot P_{t+1}\right) - \log(P_t) \\ &= \log\left[\left(1 + \frac{D_{t+1}}{P_{t+1}}\right) P_{t+1}\right] - \log(P_t) \\ &= \log(P_{t+1}) + \log\left(1 + \frac{D_{t+1}}{P_{t+1}}\right) - \log(P_t). \end{aligned}$$

Define $r_{e,t+1} \equiv \log(R_{e,t+1})$, $p_t \equiv \log(P_t)$, and $d_t \equiv \log(D_t)$. Since $\frac{D_{t+1}}{P_{t+1}} = e^{\log(D_{t+1}/P_{t+1})} = e^{d_{t+1}-p_{t+1}}$, we can write

$$r_{e,t+1} = p_{t+1} + \log\left(1 + e^{d_{t+1}-p_{t+1}}\right) - p_t.$$

Define $f(x) \equiv \log(1 + e^x)$, where $x = d_{t+1} - p_{t+1}$. We approximate this function around the average log dividend-price ratio $\bar{d} - \bar{p}$ using a first-order Taylor approximation,

$$f(x) \approx f(\bar{d} - \bar{p}) + f'(\bar{d} - \bar{p})(x - \bar{d} - \bar{p}),$$

so that

$$f(d_{t+1} - p_{t+1}) \approx f(\bar{d} - \bar{p}) + f'(\bar{d} - \bar{p})[(d_{t+1} - p_{t+1}) - \bar{d} - \bar{p}].$$

Since $f(x) = \log(1 + e^x)$, we have $f'(x) = \frac{e^x}{1 + e^x}$, so

$$f'(\bar{d} - \bar{p}) = \frac{e^{\bar{d} - \bar{p}}}{1 + e^{\bar{d} - \bar{p}}}.$$

Define $\kappa \equiv \frac{1}{1 + e^{\bar{d} - \bar{p}}}$. Then $1 - \kappa = \frac{e^{\bar{d} - \bar{p}}}{1 + e^{\bar{d} - \bar{p}}}$, so $f'(\bar{d} - \bar{p}) = 1 - \kappa$.

Hence,

$$\begin{aligned} f(d_{t+1} - p_{t+1}) &\approx f(\overline{d-p}) + (1-\kappa) \left[(d_{t+1} - p_{t+1}) - \overline{d-p} \right] \\ &= f(\overline{d-p}) - (1-\kappa)\overline{d-p} + (1-\kappa)(d_{t+1} - p_{t+1}). \end{aligned}$$

Define $\kappa_0 \equiv f(\overline{d-p}) - (1-\kappa)\overline{d-p}$, a constant. Since $f(\overline{d-p}) = \log(1+e^{\overline{d-p}})$ and $\kappa = \frac{1}{1+e^{\overline{d-p}}}$, we have $1+e^{\overline{d-p}} = \frac{1}{\kappa}$, so

$$f(\overline{d-p}) = \log\left(\frac{1}{\kappa}\right) = -\log \kappa, \quad e^{\overline{d-p}} = \frac{1}{\kappa} - 1, \quad \overline{d-p} = \log\left(\frac{1}{\kappa} - 1\right).$$

Therefore,

$$\kappa_0 \equiv f(\overline{d-p}) - (1-\kappa)\overline{d-p} = -\log \kappa - (1-\kappa)\log\left(\frac{1}{\kappa} - 1\right).$$

We then have $\log(1+e^{d_{t+1}-p_{t+1}}) = f(d_{t+1} - p_{t+1}) \approx \kappa_0 + (1-\kappa)(d_{t+1} - p_{t+1})$, so

$$\begin{aligned} r_{e,t+1} &= p_{t+1} + \log\left(1+e^{d_{t+1}-p_{t+1}}\right) - p_t \\ &\approx p_{t+1} + \kappa_0 + (1-\kappa)(d_{t+1} - p_{t+1}) - p_t \\ &= \kappa_0 + (1-\kappa)d_{t+1} + \kappa p_{t+1} - p_t \\ &= \kappa_0 + \left[(1-\kappa)d_{t+1} - d_t + \kappa p_{t+1} - p_t + d_t\right] \\ &= \kappa_0 + (d_{t+1} - d_t) + \kappa(p_{t+1} - d_{t+1}) - (p_t - d_t) \\ &= \kappa_0 + \Delta d_{t+1} + \kappa(p_{t+1} - d_{t+1}) - (p_t - d_t). \end{aligned}$$

Therefore, we have

$$r_{e,t+1} \approx \kappa_0 + \Delta d_{t+1} + \kappa(p_{t+1} - d_{t+1}) - (p_t - d_t), \quad \kappa = \frac{1}{1+e^{\overline{d-p}}}, \quad \kappa_0 = -\log(\kappa) - (1-\kappa)\log\left(\frac{1}{\kappa} - 1\right).$$

Isolating $p_t - d_t$ and recursively substituting for $p_{t+h} - d_{t+h}$, we have

$$\begin{aligned} (p_t - d_t) &\approx \kappa_0 - r_{e,t+1} + \Delta d_{t+1} + \kappa(p_{t+1} - d_{t+1}) \\ &= \kappa_0 - r_{e,t+1} + \Delta d_{t+1} + \kappa \left[\kappa_0 - r_{e,t+2} + \Delta d_{t+2} + \kappa(p_{t+2} - d_{t+2}) \right] \\ &= (1+\kappa)\kappa_0 + (\Delta d_{t+1} + \kappa \Delta d_{t+2}) - (r_{e,t+1} + \kappa r_{e,t+2}) + \kappa^2(p_{t+2} - d_{t+2}) \\ &\vdots \quad \text{keep substituting } p_{t+h} - d_{t+h} \\ &= \frac{\kappa_0(1-\kappa^H)}{1-\kappa} + \sum_{h=1}^H \kappa^{h-1} \Delta d_{t+h} - \sum_{h=1}^H \kappa^{h-1} r_{e,t+h} + \kappa^H(p_{t+H} - d_{t+H}). \end{aligned}$$

Thus, we have

$$d_t - p_t \approx \frac{\kappa_0(1-\kappa^H)}{1-\kappa} + \sum_{h=1}^H \kappa^{h-1} r_{e,t+h} - \sum_{h=1}^H \kappa^{h-1} \Delta d_{t+h} + \kappa^H(d_{t+H} - p_{t+H}),$$

so, letting $dp_t \equiv d_t - p_t$,

$$dp_t \approx \frac{\kappa_0(\kappa^H - 1)}{1 - \kappa} + \sum_{h=1}^H \kappa^{h-1} r_{e,t+h} - \sum_{h=1}^H \kappa^{h-1} \Delta d_{t+h} + \kappa^H dp_{t+H}. \quad (1.1)$$

Taking expectations as of time t ,

$$dp_t = \frac{\kappa_0(\kappa^H - 1)}{1 - \kappa} + \sum_{h=1}^H \kappa^{h-1} \mathbb{E}_t[r_{e,t+h}] - \sum_{h=1}^H \kappa^{h-1} \mathbb{E}_t[\Delta d_{t+h}] + \kappa^H \mathbb{E}_t[dp_{t+H}]. \quad (1.2)$$

Suppose $H \rightarrow \infty$. Since $\kappa = \frac{1}{1 + e^{d-p}} \in (0, 1)$, we have $\lim_{H \rightarrow \infty} \kappa^H = 0$, and by the no-bubble condition $\lim_{H \rightarrow \infty} \kappa^H \mathbb{E}_t[dp_{t+H}] = 0$. Therefore,

$$dp_t = \frac{-\kappa_0}{1 - \kappa} + \sum_{h=1}^{\infty} \kappa^{h-1} \mathbb{E}_t[r_{e,t+h}] - \sum_{h=1}^{\infty} \kappa^{h-1} \mathbb{E}_t[\Delta d_{t+h}]. \quad (1.3)$$

1.2 Part (b)

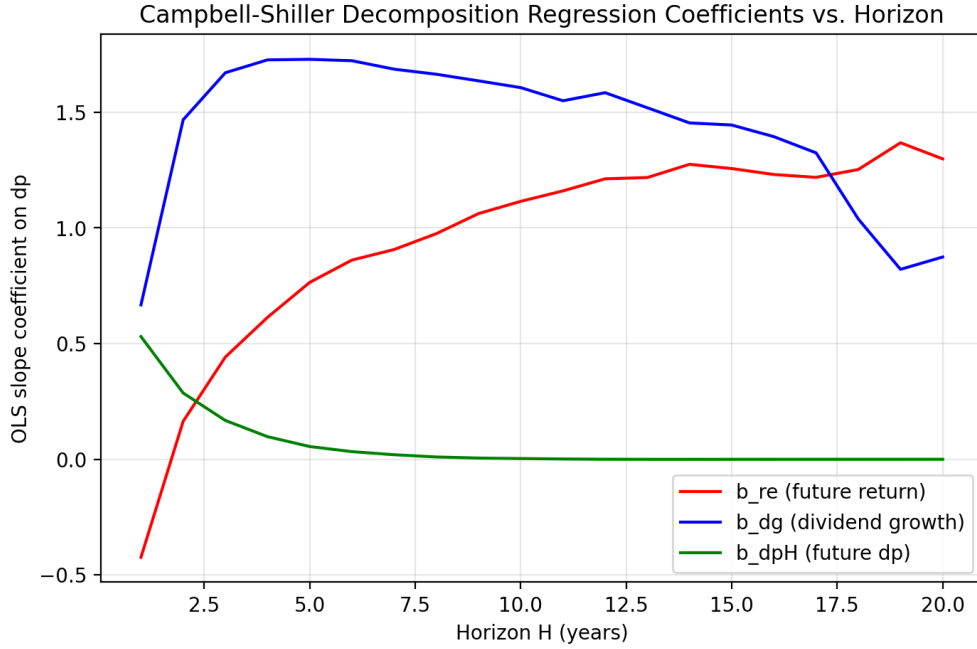


Figure 1: OLS slope coefficients of `future_return`, `change_d`, and `dp_H` on `dp`, plotted against the horizon H (in years).

1.3 Part (c)

2 Question 2

3 Question 3

4 Question 4